IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No.-502
CA (CAA No).- 13/230-232/2021

IN THE MATTER OF:
Torqus Systems Pvt Ltd And Times Internet Ltd. **....Applicant**

SECTION
U/s 230-232 **Order delivered on 03.01.2022**

CORAM:
SHRI ABNI RANJAN KUMAR SINHA
HON'BLE MEMBER (JUDICIAL)

SHRI AVINASH K. SRIVASTAVA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant : Mr. Abhishek Seth, Adv., Ms. Devika Chopra, Adv., & Mr. Shaurya Sharma, Adv.
For the Respondent :

ORDER

Due to typographical error in place of 2021, it is mentioned 2019. Same is hereby corrected.

Sd/-

(AVINASH K. SRIVASTAVA)
MEMBER (T)

Sd/-

(ABNI RANJAN KUMAR SINHA)
MEMBER (J)

THE NATIONAL COMPANY LAW TRIBUNAL

BENCH V, NEW DELHI

CA (CAA)-13/230-232/ND/2019 2021 - Corrected vide order dt. 3/1/22

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF:

SCHEME OF AMALGAMATION

OF

TORQUS SYSTEMS PRIVATE LIMITED

...(Transferor Company 1/ Applicant No 1)

AND

TIMES INTERNET LIMITED

...(Transferee Company 2/ Applicant No 2)

Order Reserved on: 25.11.2021

Order pronounced on: 03.01.2022

CORAM:

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER(J)

SH. AVINASH K. SRIVASTAVA, HON'BLE MEMBER (T)

PRESENT

For the Applicants :**Mr. Abhishek Seth, Adv., Ms. Devika Chopra, Adv., & Mr. Shaurya Sharma, Adv.**

For the Respondent:

MEMO Of PARTIES

In the Matter of Companies Act, 2013

Section 230 to 232

AND

In the Matter of:

TORQUS SYSTEMS PRIVATE LIMITED

Company incorporated under the Companies

Act, 2013

Having Registered Office at Express Building, 9-10,

Bahadurshah Zafar Marg,

New Delhi Central Delhi-110002

CIN: U72900DL2014PTC358928

through its authorized signatory

Mr.Mahesh Chand Gupta

Email: mahesh.gupta@timesinternet.in

(Transferor Company 1/ Applicant No 1)

AND

TIMES INTERNET LIMITED

Company incorporated under the Companies

Act, 1956

Having Registered Office at Express Building, 9-10,

Bahadurshah Zafar Marg,

New Delhi-110002

CIN: U74999DL1999PLC135531

through its authorized signatory

Mr.Mahesh Chand Gupta

Email: mahesh.gupta@timesinternet.in

(Transferor Company 2/ Applicant No 2)

ORDER

PER SH. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

1. This is an application No. **CA(CAA)13/230-232/ND/2019** (2021) in the matter of Scheme of Amalgamation, Torqus System Pvt. Ltd. (Transferor Company) and Time Internet Limited (Transferee Company) and the respective shareholders and creditors under Section 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016. The applicant companies have submitted their First Motion Application dated 21.01.2021 requesting for dispensing with the requirement for convening the meeting of the equity and preference shareholders, secured and unsecured creditors of the Transferor and Transferee Company and for permitting the filing of application, other documents for the purpose of sanctioning the proposed Scheme of Amalgamation.

Corrected vide Order dt 3/1/22 5/1/22

2. It is submitted that all 100 per cent equity shareholders and 100 percent preference shareholders of the Transferor Company and 99.57 percent of unsecured creditors (in value) of the Transferor Company have given their consent to the proposed scheme. There are no secured creditors of the Transferor Company which is a wholly owned subsidiary of the Transferee Company.

3. Also, all 100 per cent equity shareholders and 100 percent preference shareholders and 100 per cent of secured creditors (in value) of the Transferee Company have given their consent to the proposed scheme. Further 90.10 per cent of unsecured creditors (in value) of the Transferee Company have given their consent to the proposed scheme. The Transferee Company is not proposing any arrangement or compromise with the shareholders and creditors and no shares will be issued on amalgamation, rather the shares of the Transferee Company in the Transferor Company will be cancelled.

4. Further the proposed scheme of amalgamation does not affect the rights of the shareholders and creditors of the applicant companies in any manner whatsoever.

5. The scheme has been approved by the Board of Directors of Transferor Company on 25.11.2020 and by the Board of Directors of Transferee Company on 25.11.2020.

6. The Registered office of both the applicant companies is in Delhi and the application is within the jurisdiction of this Bench.

7. The Transferor Company is engaged in carrying on the business of providing software designing, development, customization, implementation, maintenance, testing and benchmarking, etc.

8. The Transferee Company is primarily engaged in the business of providing information technology services; internet related services and systems. Thus, both the companies are engaged in providing internet lead services, products, software services and technology etc.

9. As both are engaged in similar business activities and the Transferor Company is wholly owned subsidiary of the Transferee Company, the proposed scheme of amalgamation would result in business synergy, elimination of duplicate work, reduction in overheads and hence leveraging capability etc. The scheme shall be effective from the appointed date April 1, 2020.

10. It is submitted that there are no investigation proceedings which are pending against the applicant companies, for which separate affidavits have also been filed.

11. The scheme does not include reduction of share capital of the applicant companies. It is not a corporate debt restructuring scheme and hence, the creditors' responsibility statement and other requirements under Section 230(2)(c) of the Companies Act 2013 are not applicable. Upon the scheme become effective, the Transferor Company shall stand dissolved without following the process of winding up. Although the applicant companies are covered under Section 233 of the Companies Act 2013, they have chosen a procedure of applying under Section 230-232 of the Companies Act 2013. The applicant companies are not governed by any specific Sectoral Regulators.

Transferor Company: -

12. The Transferor Company has seven equity shareholders holding aggregate of 11,959 number of equity shares of face value of INR 10/- each. The majority shareholder is Transferee Company (Times Internet Ltd) having 11,953 shares constituting 99.95 percent of the shareholding.

13. All the 7 equity shareholders have given their consent to the scheme. The affidavits are placed as **Annexure-A7 (Colly).** The Transferor Company has one preference shareholder holding 1,384 preference shares each of face value INR 1,000/-. The one preference shareholder is the Transferee Company (Times Internet Ltd) holding 1,384 preference shares. The said preference shareholder constituting 100 per cent (in value and number) has consented to the scheme in writing. Further the Transferor Company has NIL secured creditors. It has 5 unsecured creditors and have INR 3,44,32,262 outstanding balance as on October 31, 2020. The unsecured creditors namely Times Internet Ltd (Transferee Company) is having outstanding amount of Rs. 3,42,85,083 which represents 99.57 per cent in value and has given their consent to the scheme.

14. From the above, we may dispense with the holding of meeting of the **equity shareholders, preference shareholders, secured creditors and unsecured creditors in the case of Transferor Company.**

Transferee Company:-

15. The Transferee Company has 27 equity shareholders holding 11,12,98,409 number of equity shares of Rs. 10 each of which Bennett Coleman and Company Limited holding 9,88,34,732 number of shares constitute 88.802 percent shareholding .All the equity shareholders have given their consent annexed at Annexure-A18 (Colly). Further it has 1 preference shareholder holding 2,87,32,56,000 number of preference shares of face value INR 10 each. The one preference shareholder of the transferee company is Bennett Coleman and company limited which has given their consent to the scheme annexed at **Annexure-A20 (Colly).**

16. The Transferee Company has one secured creditor having outstanding balance of Rs. 173,98,36,486 as on October 31, 2020. The HDFC Bank Ltd is the sole secured creditor of the Transferee Company which has given their consent to the scheme annexed at **Annexure-A22 (Colly)**. Further it has 919 unsecured creditors having an outstanding balance of Rs. 470,55,52,504 as on October 31, 2020. Bennett Coleman and Company Limited having an outstanding of Rs. 405,08,06,717 is the biggest unsecured creditor of the Transferee Company representing 90.10 percent (in value) and has given their consent to the scheme annexed at **Annexure-A22 (Colly)**.

17. As 100% of the equity shareholders and 100% preference shareholders of the Transferee Company have given their consent and 100 percent of the secured creditor and 90.10% (in value) of unsecured creditors have given their consent, so in exercise of the power conferred by section 230(9) of the Companies Act, the meeting of the equity shareholders, preference shareholders, secured creditors and unsecured creditors of the transferee company is ordered to be dispensed with.

18. The application **CA(CAA)13/230-232/ND/2019 is allowed** in aforesaid terms.

Sd/-

(AVINASH K. SRIVASTAVA)

Member (T)

Sd/-

(ABNI RANJAN KUMAR SINHA)

Member (J)